Requirement 1: Perform a substantive analytical review to evaluate the reasonableness of FM's reported revenue

Alternative calculations making differing assumptions can be credited where the approach taken is reasonable and can be understood from workings. Calculations shown below assume that changes in activity levels through the period have occurred at a steady rate.

Expected subscription revenue (FF only)

Average subscribers ((17k+18k)/2) = 17,500

Average monthly subscription rate (£10+£11)/2 = £10.50

Avg subscribers x avg rate x 12 months = **£ 2,205k (2 marks)**

Expected advertising revenue (SP and LM)

	Dec 24	**Dec 25**
Downloads per month SP	724,000	821,000
Less ad-free members SP	*40,000*	*53,000*
Downloads per month LM		223,000
Less ad-free members LM		*21,000*
Total 'with ads' downloads	684,000	970,000

Average 'with ads' downloads = (684k + 970k)/2 = 827k **(2 marks)**

827k/1000 * 104 podcasts * 3 mins * £25 per minute = **£6,451k (2 marks)**

Expected SP membership revenue

Average members (40k+53k)/2 = 46.5k

46.5k * £6 * 12 months = **£3,348k (2 marks)**

Expected LM membership revenue

Membership cashflow in first year of podcast = 21,000 members @ £30 = £630,000

But average member will have joined mid-year and thus only half of this cashflow should recognised as revenue on accruals basis, with the remainder deferred to 20X6. £630k/2 = **£315k. (2 marks)**

Comparisons (all amounts in £000's)**:**

	Management Accounts	**Expectation Calculated**	**Variance**
Subscription Revenue (FF only)	2,232	2,205	27
Advertising Revenue (SP and LM)	6,595	6,451	144
Membership Revenue (SP)	3,102	3,348	(246)
Membership Revenue (LM)	622	315	307

(1 mark)

Conclusion

The tolerable error is £50,000. The variance relating to subscription revenue is lower than the tolerable error, so no further analysis is required. **(1 mark)**

The other variances each exceed the tolerable error, so further analysis and corroboration is required on all other areas **(1 mark)**

(Total 13 marks)

Requirement 2: Analyse the potential reasons for any variances between the expected and actual amounts reported for each category of revenue and recommend further procedures to corroborate the reasons for any identified variances.

Advertising revenue (SP & LM)

The reported revenue is £141k higher than our expectation. FM's Q4 invoice has not yet been accepted and paid by its advertising agency. **(1 mark)** It is possible that this invoice is based upon inaccurate data. Specifically, it is possible that the agency has been billed for the gross number of downloads rather that the lower number of 'free-with-ads' downloads, which exclude 'ad-free' member listeners. **(2 marks)**

We should obtain FM's Q4 sales invoice and review the supporting information used in its preparation, confirming whether the basis of calculation agrees to reliable download data, adjusted for 'ad-free' member numbers. **(2 marks)**

Membership revenue (SP)

The reported revenue is £246k lower than our expectation. Our expectation was calculated on the assumption that changes in activity, including membership numbers, occurred at a steady rate throughout the year. **(1 mark)** It is possible that this was not the case. For example, SP's promotional 'Black Friday' offer may have caused a jump in membership late in the year, leading to us overestimating membership revenue for the period. **(2 marks)**

We should obtain more detailed SP membership data (eg: weekly or monthly). Having assessed the reliability of this information created by the client, we should use this to restate our expectation more accurately and consider the effects on the variance identified. **(2 marks)**

Membership revenue (LM)

The reported revenue is £307k higher than our expectation. The scale of the variance suggests that FM has recognised all annual subscription payments as revenue in 20X5, rather than deferring the unused proportions of customers' subscriptions to 20X6. **(2 marks)**

We should enquire with FM's finance team about the approach taken to deferring subscription revenue and inspect any deferral journals and their supporting workings. **(2 marks)** If no/inaccurate deferral journals have been posted, we should request that this misstatement is corrected. **(1 mark)**

(Total 15 marks)